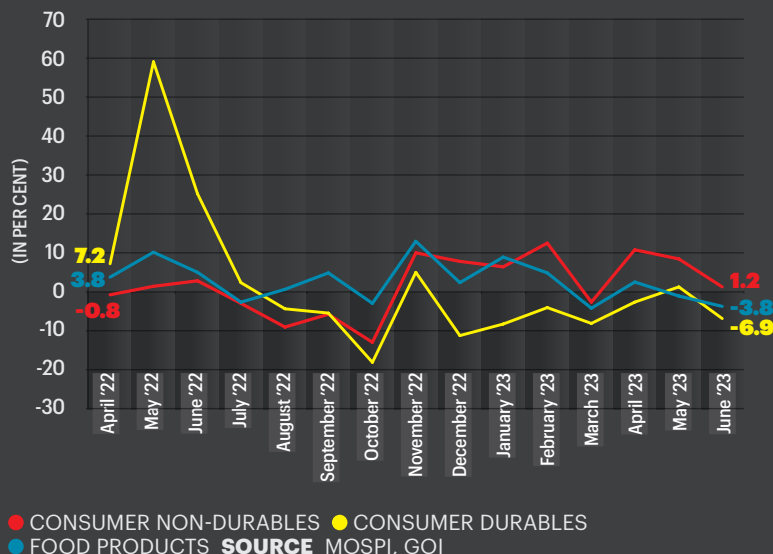


IN LOCK STEP

> After growing rapidly in early-2022, gross production of consumer goods has wobbled due to demand uncertainty

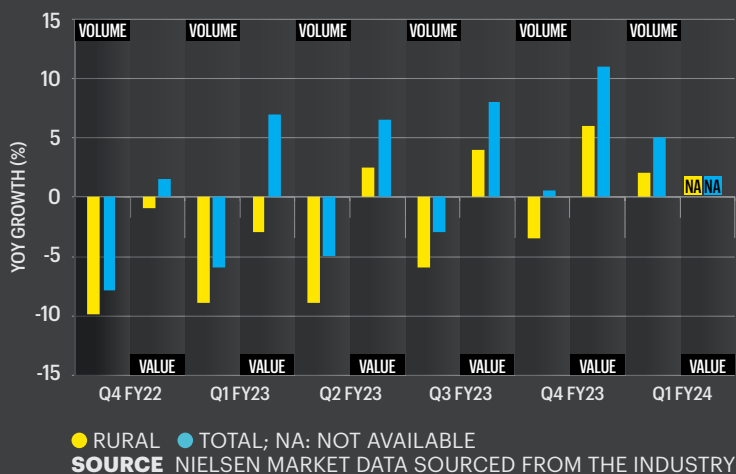
> Production of food products, durables and non-durables fell sharply in June



THE RURAL HIT

> Volume offtake in the rural market has improved since the low of March 2022

> However, a deficient monsoon could impact rural households' incomes



WHITE GOODS: TURBULENT TIMES



Prices of chipsets, steel, aluminium, copper, plastic and cost of logistics rise 20-200 per cent between early-2020 and mid-2022



Durables makers hike prices of large appliances like ACs, refrigerators and smart TVs by 15-30 per cent



Covid-19 waves wash out key summer quarter—that contributes 35-40 per cent of yearly sales—for two years



In 2023, AC & refrigerator sales shrink 8-10 per cent thanks to mild summer and unseasonal rains



Mass market products suffer, but premium categories perform well

December 2022, manufacturers had no option but to hike the prices of packaged goods. And volumes faltered as most low-to-middle-income households balked at the idea of increasing their expenditure.

HUL isn't an outlier. Most leading FMCG companies are feeling the heat. Take for instance Ayurveda-centric

packaged goods major Dabur India. It reported a meagre 1.8 per cent YoY growth in its net profit for FY23 thanks to a 6 per cent surge in sales. But that was mostly due to steep hikes in the prices of its products. The Ghaziabad-headquartered firm's margins bear out the impact of higher commodity prices. While Dabur's consolidated